

Premarket High Break

Why the Premarket High Break works:

- A stock with a strong news catalyst will encourage new and existing traders to get involved with the stock
- When the catalyst is strong enough, traders will be eager to get involved with the stock right at the open
- The Premarket High Break is a clear way for us to recognize the strength right at the open
- We are looking to join these aggressive participants and stick with the stock until the momentum slows down

Entry Rules (inverted rules for the short side):

- Enter aggressively on the premarket high break, paying the offer on the break

Stop Loss Rules:

- The stop should be placed one cent below the LOD
- We will only try this trade once

Exit Rules:

- This is a momentum trade so we want to stick with this trade until the momentum slows
- We will wait for the stock to close below the 9 EMA on the 1-minute chart to trigger our exit

Factors that increase the probability of this trade working:

- We want to see the stock open within the upper 1/4th of the premarket range
- We also want to see aggressive buying right at the open, we don't want to see deep pullbacks as buyers should be paying up aggressively
- The stock is also breaking out on the daily chart
- This trade works best in an aggressive momentum market

Factors that decrease the probability of this trade working:

- The market trending in the opposite direction of the premarket high break
- We don't want to see chop or deep pullbacks after taking this trade, we want aggressive participation
- This trade does not work as well in a range-bound market or a market that is fading moves

The ideal times of day to take this trade:

- First 5 minutes of the trading day

When do we avoid this trade entirely?:

- We will avoid this trade entirely if the catalyst is not at least an 8+. The catalyst needs to be strong enough to encourage aggressive participation

